

outstanding companies as Avon Products in highly competitive areas, he would have hesitated to predict a speedy flattening out of the Block growth curve. His chief concern would be simply whether the \$300 million valuation for the company had not already fully valued and perhaps overvalued all that one could reasonably expect from this excellent business. By contrast the analyst should have had little difficulty in recommending Blue Bell as a fine company, quite conservatively priced.

TABLE 18-4. Pair 4.

	<i>H & R Block 1969</i>	<i>Blue Bell 1969</i>
Price, December 31, 1969	55	49½
Number of shares of common	5,426,000	1,802,000 ^a
Market value of common	\$298,000,000	\$89,500,000
Debt	—	17,500,000
Total capitalization at market	298,000,000	107,000,000
Book value per share	\$1.89	\$34.54
Sales	\$53,600,000	\$202,700,000
Net income	6,380,000	7,920,000
Earned per share, 1969	\$5.1 (October)	\$4.47
Earned per share, 1964	.07	2.64
Earned per share, 1959	—	1.80
Current dividend rate	.24	1.80
Dividends since	1962	1923
Ratios:		
Price/earnings	108.0 ×	11.2 ×
Price/book value	2920 %	142 %
Dividend yield	0.4 %	3.6 %
Net/sales	11.9 %	3.9 %
Earnings/book value	27 %	12.8 %
Current assets/liabilities	3.2 ×	2.4 ×
Working capital/debt	no debt	3.75 ×
Growth in per-share earnings		
1969 versus 1964	+630%	+68%
1969 versus 1959	—	+148%

^a Assuming conversion of preferred stock.

SEQUEL TO MARCH 1971. The 1970 near-panic lopped one-quarter off the price of Blue Bell and about one-third from that of Block. Both then joined in the extraordinary recovery of the general market. The price of Block rose to 75 in February 1971, but Blue Bell advanced considerably more—to the equivalent of 109 (after a three-for-two split). Clearly Blue Bell proved a better buy than Block as of the end of 1969. But the fact that Block was able to advance some 35% from that apparently inflated value indicates how wary analysts and investors must be to sell good companies